HEAL HOUSE

DRAFT FOR DISCUSSION · HH-MODEL-0001 · NOV 5 2026

36–48 STEELES AVE E / 37–49 HIGHLAND PARK BLVD · MARKHAM · IN RECEIVERSHIP

Health and housing, *together*, at Yonge & Steeles

An approved two-tower site, bought out of receivership with a pension-backed guarantee and built through the Common Ground Initiative: affordable and market rental, 55+ living with Heal House programs, a Heal House wellness podium, and short-stay suites.

$466.6M	960 homes	$20.4M	1.81x	Yr 20
TOTAL PROJECT COST	287 AFFORDABLE · +80 KEYS	STABILIZED NOI	DEBT COVERAGE, YR 1	BCH MEZZ FULLY REPAID

01 · PROGRAM

COMPONENT	SIZE	NOI
Tower A — affordable + market rental	710 units (213 aff.)	$13.8M
Tower B — 55+ rental with Heal House programs	250 suites (74 aff.)	$4.2M
Heal House wellness & clinic podium	40,000 sf	$1.2M
Short-stay / recovery suites	80 keys	$1.3M
Total · approved 858,648 sf GFA		**$20.4M**

02 · CAPITAL STACK AT CONSTRUCTION CLOSE

SOURCE	AMOUNT	SHARE
CMHC MLI Select — 4.25%, 50-yr amortization	$233.3M	50%
BCH contribution — vests Yrs 1–10 vs affordable homes	$101.7M	21.8%
BCH mezz — no payments to Yr 10, repaid Yrs 11–20	$84.9M	18.2%
City of Markham	$34.7M	7.4%
Land equity (retained seat)	$12.0M	2.6%
Total project cost	**$466.6M**	**100%**

03 · HOW THE LAND GETS BOUGHT

1. **LiUNA pension invests in Nesting Ground**, building its Affordable Housing Guarantee Pool.
2. **The guarantee lifts the land loan** from $19.5M (65% of value) to the full $31.0M price — a $11.5M top-up guarantee.
3. **We buy from the receiver** and pay out the secured lenders (~$30.3M owing).
4. **At construction close**, the Common Ground stack pays the $18.0M Day-1 land draw against the loan; the raise retires the remaining $13.0M.
5. **Nesting Ground owns and operates** the rental; Heal House runs the programs; LiUNA builds.

04 · WHAT WE NEED TO RAISE

$8.7M
Equity at purchase — transfer tax $0.6M, legal $0.5M, 18-mo carry $3.5M, pre-development $4.0M

$13.0M
Equity at construction close — land loan left after the Day-1 draw

$21.7M
Peak equity; $17.7M stays in after pre-development is reimbursed

$11.5M
Land-loan guarantee (LiUNA via Nesting Ground)

~$58.3M
Guarantor net worth for CMHC (≈25% of loan) — confirm current rule

~$23.3M
Guarantor liquidity for CMHC (≈10% of loan) — confirm current rule

05 · WHAT THE EQUITY EARNS

60% of cash flow after debt, Yrs 1–10	$73.2M
Year-10 buyout of the land seat	$28.8M
Back to equity · 5.8x on $17.7M · ~18% IRR	**$102.0M**

Nesting Ground keeps 40% of cash flow, takes fee-simple land at Year 10, and owns the whole asset by Year 20. Year-10 refinance coverage: **2.18x** (needs 1.10x).

06 · STATED OPENLY

- **Assumes MLI Select and BCH fund the podium and suites.** CMHC normally caps commercial space and excludes short-stay; if they don't, the suites need ~$35–45M of separate cash (e.g. Sunray).
- **55+ must stay independent rental.** Two bundled care services trigger Ontario's Retirement Homes Act and move CMHC to a lower-leverage product.
- **BCH contribution is $354K per affordable home** — high; phasing Tower A first lowers the first ask.
- **Development charges ($63.0M) are estimates**; approvals, stamped drawings and final GFA are unverified. Clinic and short-stay uses need a zoning amendment.
- Project value at stabilization ($458.9M) is below cost; the BCH contribution closes the gap.

HEAL HOUSE

A sanctuary for healing.

Sources: Approved two-tower scheme, 858,648 sf marketed GFA (Colliers brochure, Jun 2026) — unverified vs stamped set · Arterial construction cost, Markham condos 40–60 storeys, $330–410/sf midpoint (Nov 4 2026) · Arterial scenario comps, Yonge/Steeles leasing: 1BR $2,338 (5), 2BR $2,963 (4); 3BR $3,500 adj. from 1 comp (Nov 4 2026) · Arterial / CMHC Markham zone avg rents 1BR $1,720 · 2BR $1,850 · 3BR $1,834 (Nov 4 2026) · Arterial Markham multi-res rate 0.8397% (2025) · ESTIMATE — Arterial has no Markham/York DC data; needs municipal quote · Working value $30M (desktop opinion, Nov 4 2026); bid $31M · ASSUMPTION — 80 short-stay keys, ADR $185, 72% occ., 30% NOI margin · ASSUMPTION — 40,000 sf Heal House clinic/wellness at $32/sf net · Common Ground July 2026: MLI Select 50% / BCH 40% (54.5% contribution, 45.5% mezz) / City 5% / land equity 5%. Per instruction, assumes MLI Select + BCH fund commercial space. Bid $31.0M; guaranteed land loan at 6.5%. Illustrative scenario for discussion — not an appraisal, offer, commitment or financial advice. Subject to receiver and court approval, CMHC, BCH and City of Markham approvals, LiUNA trustee approval, and legal review.